CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE S

The City Council of the City of Monterey voted unanimously to place Measure S on the ballot to ask voters to continue, without increasing, the existing special tax for the rehabilitation, repair, and improvement of the City of Monterey's streets, sidewalks, and storm drains, and Americans with Disabilities Act ("ADA") improvements (for example, curb ramps), for an additional eight years.

The current sales tax was initially approved by the voters in 2014, and it authorized a one-cent per dollar (1%) transactions and use ("sales") tax for four years. This sales tax was extended by the voters in 2018 for eight years. The authority for the sales tax is set to expire on March 31, 2027, unless it is extended by the voters.

Measure S would authorize continuing the special tax for another eight years without increasing the rate or changing the restrictions on how the revenue may be spent.

As a special tax, use of the funds collected from Measure S is restricted to the rehabilitation, repair, and improvement of the City of Monterey's streets, sidewalks, and storm drains, and ADA improvements. The tax may not be used for any other purpose. The tax will automatically end in eight years after collection begins, unless extended by the voters.

Measure S continues the requirement that a five-member citizens' advisory board ("Oversight Committee") review the revenue generated from the tax and the expenditures, and report to the City Council in a public meeting on the conformity of such expenditures for the specific purposes of rehabilitating, repairing, and improving streets, sidewalks, and storm drains, and ADA improvements.

State and local tax on retail sales in the City of Monterey is currently 9.25% of the purchase price, of which the City of Monterey receives 2.5% of the revenue. The continuation of the 1% sales tax proposed by Measure S would only go to the City, and not to the State or any other governmental entity. It is estimated that the tax would raise $12 million annually.

A "Yes" vote is a vote to continue the 1% sales tax for eight years, to be used exclusively for the rehabilitation, repair, and improvement of the City's streets, sidewalks, and storm drains, and ADA improvements, with a citizen Oversight Committee and annual independent audits. A "No" vote is a vote not to extend the existing tax and the existing tax would no longer be collected after March 31, 2027. Measure S will be approved if two-thirds of voters vote "Yes" on the measure.

A full copy of the ordinance is printed in these ballot materials.

M. Christine Davi August 3, 2026
Monterey City Attorney